

Elasticity of demand



People respond differently to changes in prices for different goods. Suppose, for example, that the price of jam rises: consumers might easily switch to marmalade, leading to a fairly large fall in the demand for jam. Demand for jam is thus sensitive to changes in prices – what economists call elastic demand. In contrast, consider a village only served by a single bus: a rise in the bus fares might not affect demand very much. Here bus travel is said to be *price inelastic*.

Goods that are necessities, or those for which there are few substitutes, tend to be inelastic, while those that are luxuries or are easily substitutable tend to be elastic. In the short term, demand tends to be more inelastic, but over time consumers may adjust to price changes. In the 1970s, the oil-producing countries attempted to keep the price of oil high to earn themselves large revenues. In the long run, however, consumers

reduced their demand for oil by switching to more fuel-efficient cars.